

| By Sudhir Gore |

English economist Alfred Marshall, known for developing the economic concepts of supply and demand, said consumption is "negative production". India's changing dairy scenario is a classic example of this assertion. Despite a robust 4 per cent annual growth in milk production over the past decade, India is heading for a painful shortage of milk this summer.

Says National Dairy Development Board (NDDB) Chairperson Amrita Patel, "The demand for milk is increasing much faster than production." The higher GDP growth rate, enhanced income of rural households through programmes such as NREGA and the farm debt waiver as well as salary hike of government employees after the recent Pay Commission report are influencing the demand for

milk, both in rural and urban areas. "Consumption of milk and milk products has significantly gone up in the country," says R.S. Khanna, international dairy consultant.

Apart from the fast increasing appetite of Indians for dairy products, increased cattle feed costs and shortfall in milk procurement during the flush (winter) season are the major factors behind the increase in milk prices. The WPI (wholesale price index used to determine inflation) for milk has shown a rise of 22.21 per cent year on year for the week ending April 3, 2010. India's milk production during 2000-01 was 80.6 million metric tonnes (MMT) which increased to 108.5 MMT during 2008-09. During the same period, per capita milk availability has increased from 220 grams per day to 261 grams per day though it is lower than the world average of 280 grams per day.

Despite the increase in produc-

tion, the price of a 1-litre toned milk pouch (Ahmedabad) has gone up from Rs 13 to Rs 23 in the last 10 years. The multiplier effect can be seen on milk products where prices of critical products like ghee and butter have increased by 104 per cent and 92 per cent respectively during the last decade. Former US president Ronald Reagan once called inflation "as violent as a mugger, as frightening as an armed robber and as deadly as a hit man". This may be a bit dramatic but dearer dairy commodities are among the potential pressure points for food inflation affecting every citizen, because milk forms the largest share—18 to 20 per cent—of expenditure on food items in the consumer basket as per 2008-09 estimates.

What price consumers pay for milk depends crucially on how much it costs to produce. Cattle feed contributes over 70 per cent of the cost of



White CRISIS

Growing demand for milk and milk products has pushed prices and fuelled food price inflation